

FATHOM

The Repayment Playbook

Pay off faster. Borrow smarter next time.

A short, practical guide to Nigerian loan-app pricing, credit-building habits, and what to check before you accept any offer.

SECTION 1

How loan-app pricing actually works

Every Nigerian loan app quotes its cost a little differently — a flat rate, a monthly rate, or a representative APR. They describe the same underlying cost, but they are easy to compare wrongly if you only glance at the headline number.

The three numbers that matter

- **Monthly rate** — the interest charged per month on the outstanding balance. This is the number most apps show first because it looks smallest.
- **APR (Annual Percentage Rate)** — the monthly rate annualized, plus most fees. It is the fairest way to compare two different apps against each other.
- **Total repayment** — the actual naira figure you pay back, principal plus every charge. This is the only number that tells you what the loan really costs you.

Worked example

Borrowing ₦150,000 for 3 months at a 5% monthly rate on a reducing balance:

Month	Payment	Principal	Interest	Balance
1	₦53,405	₦45,905	₦7,500	₦104,095
2	₦53,405	₦48,200	₦5,205	₦55,895
3	₦53,405	₦50,610	₦2,795	₦0

Total repayment: ₦160,215 on a ₦150,000 loan — ₦10,215 in interest, a 6.8% total cost over the 3 months. That total-repayment figure, not the 5% headline, is what to compare across apps.

SECTION 2

Three habits that raise your limit and lower your rate

Nearly every Nigerian loan app prices returning customers better than first-time borrowers. The mechanism is consistent across FairMoney, Carbon, Branch, PalmCredit, and the rest: the app is building a private credit file on you, and these three habits are what that file rewards.

1. Repay early or exactly on time, every time

This is the single biggest lever. Apps that advertise "lower rates for returning customers" are describing this directly — a clean repayment history is usually worth more to your next offer than your income band is.

2. Stay with one app instead of spreading across several

Taking loans from multiple apps at once — sometimes called loan stacking — tends to work against you twice: each individual app sees a thinner relationship with you, and some apps specifically flag concurrent borrowing as a risk signal that pushes your rate up. Building depth with one app before opening a second usually beats spreading thin.

3. Use the app for more than just loans, where that's genuinely useful

Several apps in this space (FairMoney, Carbon, Kuda, Moniepoint) bundle savings, bill payments, or a debit card alongside lending. Regular, real activity on the same account — not activity manufactured purely to game a score — gives the app more signal to widen your limit. Only do this for tools you would use anyway.

What does *not* help: opening and immediately repaying tiny loans purely to "build history" rarely moves the needle the way people expect, and some apps discount very small, very short loans from their scoring entirely. Consistency on a realistic amount matters more than volume of transactions.

SECTION 3

What one extra payment actually saves you

Paying a little more than the scheduled installment — even once — reduces the principal balance the interest is calculated on for every remaining month. On a reducing-balance loan (which is how nearly every Nigerian loan app prices its interest), that compounds in your favor.

Example: ₦300,000 over 6 months at a 6% monthly rate

Scenario	Total interest	Payoff
Scheduled payments only	₦58,650	Month 6
+ ₦20,000 extra in month 1	₦51,940	Month 6, lower final payments
+ ₦20,000 extra every month	₦33,510	Month 5 — one month early

Figures are illustrative, calculated on a standard reducing-balance amortization. Your app's actual schedule, and whether it allows extra or early payments without a fee, will vary — check both before assuming you can pay ahead of schedule.

Rule of thumb: any extra payment applied early in the term saves more interest than the same amount applied late, because it reduces the balance interest is charged on for more remaining months.

SECTION 4

Red flags to check before you accept

Rollover and "extension" fees

Some apps offer to "extend" or "roll over" a loan you can't repay on time. This usually adds a fresh fee and restarts interest on the outstanding balance rather than reducing what you owe. Read the extension terms before you tap accept — it is very rarely the cheapest way to buy time.

Fees that reduce what you actually receive

A processing or origination fee is often deducted before disbursement, so a ₦100,000 approval can land in your account as ₦90,000 while you still owe ₦100,000 plus interest. Check the disbursed amount, not just the approved amount.

Harassment and contact-list access

Under the Federal Competition and Consumer Protection Commission's 2026 digital lending rules, licensed apps are not permitted to contact people in your phone book to pressure repayment, or to shame you publicly over a missed payment. If an app does this, it is a compliance issue worth reporting, not a normal cost of borrowing.

Confirm who is actually lending to you

Every app should name the Central Bank of Nigeria-licensed microfinance bank behind the loan somewhere in your offer screen or terms. If an app cannot show this, treat that as a reason to stop, regardless of how good the advertised rate looks.

SECTION 5

Before you accept any offer

- I've compared the **total repayment** figure, not just the advertised rate.
- I know the **exact amount that lands in my account** after any processing fee.
- I know the **funding date** and whether that meets my actual deadline.
- I've checked whether **early or extra payments** are allowed without a penalty.
- I can name the **licensed lender** behind this app's offer.
- I am not taking this loan **while another one is still active** unless I've compared the combined monthly cost against my income.

This guide is educational and general in nature. It does not take your individual circumstances into account and is not financial, credit, investment, or legal advice. Loan terms, rates, and regulations change — confirm current details directly with the app and, if you need advice specific to your situation, with a licensed financial adviser.